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Consumer Goods and Services • OD4221

Lingerie Stores in the US

Full support: Favorable economic growth is expected to boost industry revenue growth

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Published: December 2025

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About

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About This Industry

Definition

This industry comprises retailers that primarily sell intimate apparel for women, including bras, panties and other lingerie items. Such stores also frequently sell related items such as shapewear, sleepwear, swimwear and other apparel.

Codes

2022	458110-Clothing and Clothing Accessories Retailers
2017	448190-Other Clothing Stores

What's Included

- Retailing bras, girdles and corsets
- Retailing lingerie and sleepwear
- Retailing hosiery, socks and tights

Companies

- Victoria's Secret & Co.
- American Eagle Outfitters, Inc.

Related Industries

Domestic industries

Competitors

- Women's Clothing Stores in the US
- Department Stores in the US
- E-Commerce & Online Auctions in the US

Complementors

- No data available

International industries

- Lingerie, Swimwear & Bridal Stores in Canada
- Clothing Retailing in Australia
- Clothing Retailing in New Zealand
- Clothing Retailing in the UK
- Plus-Size Women's Clothing Stores in the UK
- Online Women's Clothing Retailing in the UK
- Clothing Retailing in Ireland
- Clothing Stores in China

Related Terms

LINGERIE

Female intimate apparel, or undergarments.

SHAPEWEAR

Foundation garments worn to mold and shape the upper body into a desired shape for aesthetic or medical purposes.

SLEEPWEAR

Lingerie including camisoles, pajamas and nightgowns.

Additional Resources

- National Retail Federation
- Bureau of Labor Statistics
- International Textile and Apparel Association

At a Glance

Revenue	$4.6bn	'20-'25	↓ 4.9 %
		'25-'30	↑ 0.1 %
Employees	30,545	'20-'25	↓ 12.5 %
		'25-'30	↓ 1.1 %
Businesses	17,405	'20-'25	↑ 2.4 %
		'25-'30	↑ 1.4 %
Profit	$425.9m	'20-'25	↑ 2.9 %
Profit Margin	9.2%	'20-'25	↑ 3.0 pp
Wages	$629.0m	'20-'25	↓ 9.8 %
		'25-'30	↓ 0.9 %

Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue	Market Share
Victoria's Secret & Co.	$1.9bn	40.0%
American Eagle Outfitters, Inc.	$611.9m	13.2%
Other Companies	$2.2bn	46.7%

Products and Services

Item	Revenue	Market Share
Lingerie and sleepwear	$2.4bn	51.2%
Bras, girdles and corsets	$2.0bn	43%
Hosiery, socks and tights	$268.5m	5.8%

Key External Drivers

Key External Drivers	Impact
Per capita disposable income	Positive
Number of adults aged 20 to 64	Positive
E-commerce sales	Positive
Demand from department stores	Negative

Key Takeaways

Performance

- Private-label expansion disrupts the lingerie industry. Retail giants like Target and Costco reshape the market by offering affordable, mass-available options, which challenge the distinctiveness of specialty boutiques with their extensive reach and competitive pricing strategies.
- Rising incomes will revive mid-tier lingerie demand. As disposable income increases, consumers are more inclined to explore quality-driven lingerie brands focused on experience and emotional connection, benefiting specialty and boutique retailers.

Products and Markets

- Tariffs are putting upward pressure on costs. With effective duties on many Chinese apparel items exceeding about 43.0% and reciprocal tariffs on Vietnamese goods reaching 46.0%, lingerie retailers reliant on these countries risk margin compression and may have to raise prices, downgrade materials, or accept lower profit.
- Bangladesh offers significant cost savings as an alternative. With labor costs ranging from $0.7 to $1 per hour, compared to China's $3–4 per hour, Bangladesh offers 15–16% savings on landed costs, making it an attractive option for companies reassessing their supply chains.
- Lingerie and sleepwear have embraced inclusivity and innovation. Brands are increasingly offering diverse and innovative designs in response to evolving consumer preferences, while navigating rising production costs and adapting their strategies to maintain competitiveness in a challenging market.
- Disposable income drove market growth. Between 2023 and 2024, increased financial freedom allowed consumers aged 45 to 64 to invest in higher-quality, luxury items, prioritizing comfort and favoring premium brands, thus boosting market demand and growth.

SWOT

Strengths	Medium & Increasing Barriers to Entry
	Low Imports
	High Profit vs. Sector Average
	Low Customer Class Concentration
	Low Product/Service Concentration
	Low Capital Requirements
Weaknesses	Low & Steady Level of Assistance
	High Competition
	Very High Volatility
Opportunities	High Revenue Growth (2019-2024)
	High Revenue Growth (2024-2029)
	Per capita disposable income
Threats	Very Low Revenue Growth (2005-2024)
	Low Outlier Growth
	Low Performance Drivers
	Number of adults aged 20 to 64

Industry Structure

Characteristic	Level	Trend
Concentration	Moderate	
Barriers To Entry	Moderate	Increasing
Regulation and Policy	Low	Steady
Life Cycle	Mature	
Revenue Volatility	Very High	
Assistance	Low	Steady
Competition	High	Increasing
Innovation	Low	

Executive Summary

Full support: Favorable economic growth is expected to boost industry revenue growth

The Lingerie Stores industry has attempted to tap into new markets in recent years, thereby expanding the consumer base. A surge in demand for personalized services, such as precise bra fittings and custom adjustments, has enhanced the shopping experience, attracting a wider clientele and creating competitive advantages over larger chain stores. This shift towards personalization and diversity in product offerings reflects the industry's ability to adapt to the evolving expectations of the modern consumer. However, a drop in the consumer confidence index has challenged retailers. Revenue has dropped at a CAGR of 4.9% over the past five years to reach an estimated $4.6 billion in 2025, when income is projected to drop by 2.7%.

Global sourcing practices and evolving manufacturing dynamics have created a complex environment for retailers, directly influencing purchasing costs and profit. As manufacturing expenses fluctuate, lingerie brands are compelled to innovate in both design and material selection to sustain profitability and brand appeal. At the same time, investment in e-commerce platforms has become essential, offering new revenue streams and enabling companies to adapt to rapidly changing consumer preferences and the growing dominance of online shopping.

Looking ahead, the anticipated growth for the lingerie market seems promising with the entry of new niche players. These newcomers will emphasize diversity and inclusivity, tapping into expanding segments such as plus-size and younger demographics. Celebrity brands and collaborations will likely gain prominence, leveraging public figures' influence to boost sales and visibility. Companies aim to foster loyalty across various age and size categories by embracing diverse representation and innovative offerings. However, external competitive pressures from discount retailers, fast-fashion brands and the imposition of import tariffs on major apparel categories will continue to be challenging. Businesses must focus on differentiation, using unique product lines and sustainable practices to capture consumers' attention, seeking quality and responsible production. Over the next five years, revenue will hike at a CAGR of 0.1% to reach an estimated $4.7 billion in 2030.

Performance

Key Takeaways

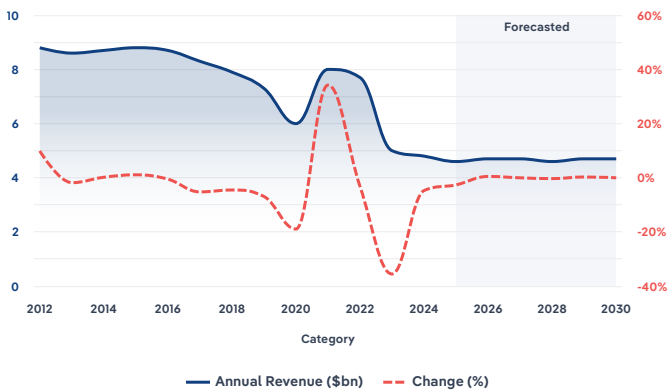
Private-label expansion disrupts the lingerie industry. Retail giants like Target and Costco reshape the market by offering affordable, mass-available options, which challenge the distinctiveness of specialty boutiques with their extensive reach and competitive pricing strategies.

Rising incomes will revive mid-tier lingerie demand. As disposable income increases, consumers are more inclined to explore quality-driven lingerie brands focused on experience and emotional connection, benefiting specialty and boutique retailers.

Performance Snapshot

Revenue

Total value ($) and annual change from 2012 – 2030. Includes 5-year outlook.



Revenue

$4.6bn

'20-'25 ↓ 4.9 %

'25-'30 ↑ 0.1 %

2025 Revenue Growth

2.6 % Decreasing

Revenue Volatility

Very High

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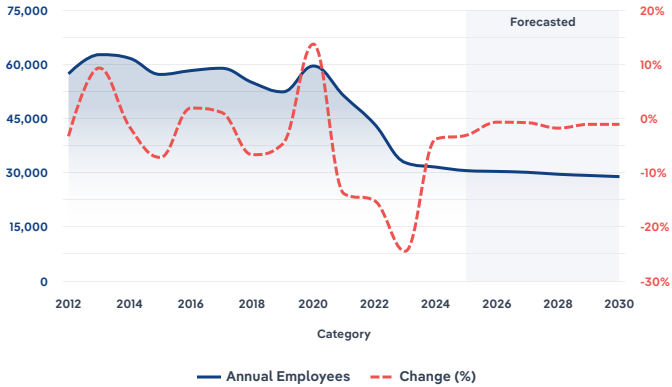
Source: IBISWorld

Employees

Total number of employees and annual change from 2012 – 2030. Includes 5-year outlook.



Employees

30,545

'20-'25 ↓ 12.5 %

'25-'30 ↓ 1.1 %

Employees per Business

2

'20-'25 ↓ 14.6 %

'25-'30 ↓ 2.5 %

Revenue per Employee

$152k

'20-'25 ↑ 8.6 %

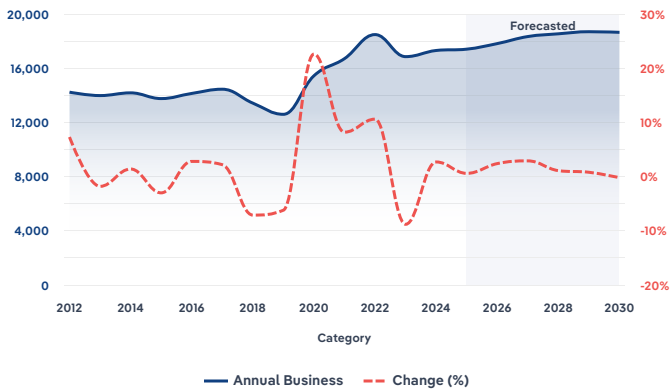
'25-'30 ↑ 1.2 %

IBISWorld

Source: IBISWorld

Business

Total number of businesses and annual change from 2012 – 2030. Includes 5-year outlook.



Businesses

17,405

'20-'25 ↑ 2.4 %

'25-'30 ↑ 1.4 %

Employees per Business

2

'20-'25 ↓ 14.6 %

'25-'30 ↓ 2.5 %

Revenue per Business

$266.0k

'20-'25 ↓ 7.2 %

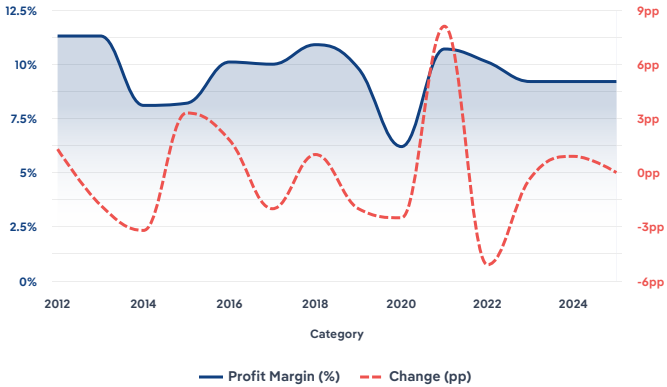
'25-'30 ↓ 1.3 %

IBISWorld

Source: IBISWorld

Profit Margin

Total profit margin (%) and annual change from 2012 – 2030



Total Profit
$425.9m '20-'25 ↑ 2.9 %

Profit Margin
9.2% '20-'25 ↑ 3.0 pp

Profit per Business
$24,468

IBISWorld

Source: IBISWorld

Current Performance

↓ 2020-25 Revenue CAGR -4.9%

What's driving current industry performance?

Private-label expansion by retail giants disrupts lingerie stores' competitive balance

- Department stores and big-box chains are reshaping the lingerie landscape by pushing private-label offerings that rival established brands. Target excels in this space, emphasizing comfort, body inclusivity and design appeal, while Costco captures value-driven shoppers through bulk pricing and cost efficiency. Their scale and brand reach significantly erode the distinctiveness once dominated by specialty lingerie boutiques.
- This surge in private labels fundamentally alters the market's pricing and loyalty dynamics. Consumers who once prioritized personalized fittings or niche aesthetics now expect affordable, high-quality options with mass availability. Target and Costco's strategies normalize lower price expectations, pushing independent lingerie stores to compete against businesses with far greater marketing budgets and supply chain strength.
- Lingerie specialists could pivot toward experiential retailing, advanced personalization and premium sustainability narratives. Emphasizing craftsmanship, expertise in fit, and exclusive materials can attract discerning customers who are resistant to mass-market homogeneity. Strategic partnerships with designers, digital fit technology adoption and curated product storytelling will be key differentiators in reclaiming brand authenticity and long-term relevance.

Falling consumer confidence drives lingerie market toward value, comfort and consolidation trends

- The consumer confidence index dropped 1.6% in 2024 and will drop another 7.4% by 2026, reflecting growing consumer caution. This drop is leading shoppers to tighten their discretionary spending, particularly on non-essential apparel, such as lingerie, where premium and specialty retailers are already reporting slower sales growth and higher inventory levels across mid- to high-end segments.
- A sustained downturn in consumer confidence puts pressure on the lingerie industry's profitability by dampening demand for upscale, fashion-driven items. Shoppers are prioritizing affordability and value, benefiting mass-market players over boutique or luxury brands. Price sensitivity may force retailers to climb promotions, reducing profit while simultaneously heightening competition for share-of-wallet in an already saturated market landscape.
- As consumer optimism continues to erode, lingerie retailers will likely shift toward necessity-based offerings, affordability-driven product lines and subscription or loyalty models to stabilize recurring sales. Digital engagement and comfort-focused marketing are expected to dominate, while consolidation among smaller boutique brands may strengthen as companies seek to maintain volume and offset declining discretionary demand.

Omnichannel lingerie strategies intensify as e-commerce growth pressures retailers to differentiate

- Lingerie stores are rapidly expanding omnichannel strategies, blending online and offline experiences to meet evolving customer expectations. This shift encompasses unified commerce platforms, seamless integration across websites, apps and physical stores, as well as personalized in-store and digital experiences. The move is a direct response to shifting consumer habits and the need for seamless, convenient shopping experiences.
- This omnichannel expansion is crucial as e-commerce competition intensifies. US Census Bureau data shows that e-commerce sales rose 7.2% in the third quarter of 2025, outpacing the 5.3% growth in total retail sales. By offering flexible fulfillment options, personalized service and unified experiences, these retailers can reduce cart abandonment, increase conversion rates, and retain customers who might otherwise shift to pure-play e-commerce competitors.
- To stay competitive, lingerie retailers must accelerate the adoption of unified commerce—integrating sales, fulfillment and customer service across all channels. Investments in AI-driven customer support, micro-fulfillment centers and in-house delivery will be key. Retailers should also leverage data for hyper-personalization and optimize fulfillment costs to deliver value and drive profitability in a rapidly evolving retail landscape.

Inclusivity and innovation redefine lingerie as brands embrace authenticity and empower diverse identities

- Lingerie stores are witnessing renewed growth as body positivity and authentic representation reshape consumer expectations. The 2024 Victoria's Secret Fashion Show, featuring plus-size and transgender models, marked a historic shift away from exclusivity, validating the diverse beauty of the average American woman and aligning the brand with pioneers like Savage X Fenty, which has an inclusive approach to empowerment.
- Modern consumers, particularly younger shoppers, seek brands that genuinely embrace diversity in terms of size, gender and ethnicity. This shift reshapes purchasing patterns and loyalty. Aerie reinforces this movement by rejecting AI-generated models and instead choosing to showcase real bodies. Such authenticity, combined with unretouched imagery and inclusive sizing, provides forward-thinking lingerie brands with both cultural credibility and a competitive advantage in an evolving market.
- The future of lingerie design will revolve around innovation, body adaptability and emotional connection. Brands that integrate technology—such as personalized fittings or adaptive garments—will capture new audiences while maintaining inclusivity as a core strategy. By merging empowerment with functionality, lingerie retailers can create lasting value, transforming how consumers perceive self-expression, comfort and identity in the evolving retail landscape.

Volatility

Very High

What influences industry volatility?

Fluctuating raw material costs and tariffs impact wholesalers' volatility

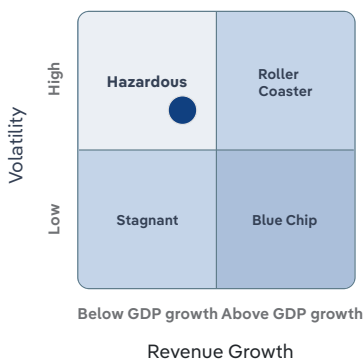
- The lingerie industry has recently faced shifting cost dynamics because of changes in material prices. In 2023, the cost of synthetic fibers increased by 2.6%, leading to higher production expenses for manufacturers. To manage these higher costs, many manufacturers passed the additional burden on to retailers. However, in 2024, a drop in cotton prices by 8.8% helped offset some of these increases, providing partial relief for retailers. Throughout this period, lingerie retailers struggled with the decision of whether to absorb these cost fluctuations or pass them on to consumers in the form of higher prices. This ongoing tension affected revenue stability and overall profitability across the industry.
- Retailers are also facing growing challenges because of new import tariffs. A 145.0% tariff on lingerie imported from China and other major producers, such as India, has significantly increased production costs for manufacturers. These higher costs are being passed on to retailers in the form of elevated wholesale prices. As a result, lingerie retailers are forced to raise their own prices, which is dampening consumer demand and creating market volatility.

Growing competition from mass merchandisers and department stores pressure lingerie revenue

- Mass merchandisers and department stores attract customers with competitive pricing and broad product selection, leading consumers away from specialty lingerie retailers. This trend pressures niche players to innovate and offer distinctive products to retain their clientele.
- The convenience of one-stop shopping at larger retailers contributes to market volatility by making it challenging for standalone lingerie shops to capture consumer attention. Businesses could focus on creating exceptional shopping experiences and exclusive product lines.

Hazardous

Industry volatility vs. revenue growth (2021-2026 CAGR)



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Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Develop a loyal customer base

Personalized service, exclusive designs and consistent engagement cultivate loyal customers. This drives repeat business and stable revenue, helping lingerie stores effectively navigate market fluctuations.

Manage seasonal production

Lingeri stores manage volatility by establishing reputable supplier relationships, ensuring steady quality, favorable pricing and reliable deliveries. This stability enhances inventory control, customer satisfaction and business resilience amid market changes.

Outlook

↑ 2025-30 Revenue CAGR +0.1%

What's driving the industry outlook?

Rising incomes will revive mid-tier lingerie demand, favoring experiential, quality-focused brands

- In 2026, a 1.8% climb in per capita disposable income will slightly expand consumers' discretionary budgets after several years of cost-of-living pressures. This modest improvement will translate into renewed willingness to explore mid-tier lingerie products, benefiting specialty chains and boutique retailers that rely on emotional connection and wardrobe rotation rather than purely basic or discount-driven purchases.
- Brands positioned around quality, comfort, or aspirational aesthetics may recapture market traction lost to budget competitors during periods of inflation. The change reinforces segmentation trends, where value and premium players outperform middle-tier labels struggling with unclear price-to-quality propositions.
- Retailers are expected to recalibrate strategies toward personalization and experience-driven commerce rather than solely chasing volume. Modest income gains will likely encourage omnichannel investments—such as virtual fittings, loyalty programs and limited-edition drops—that strengthen consumer connection. Over time, even small income improvements could build cumulative momentum for sustained brand loyalty, especially if inflation remains contained and supply costs stabilize steadily.

Global cotton rebound will test lingerie retailers' adaptability and resilience strategies

- Global cotton prices declined by 9.0% in 2025, easing raw material costs for lingerie manufacturers and lowering wholesale fabric expenses. Retailers temporarily benefited from improved profit on cotton-rich lines, although production contracts and staggered inventories delayed these effects. Smaller boutiques experienced limited relief compared to larger chains operating in an already saturated market.
- Short-term cotton price relief in 2025 allowed lingerie retailers to reallocate budgets, launching selective discounts and reinvesting in textile quality upgrades. However, this margin expansion remains fragile, as cotton prices are projected to climb by 5.6% in 2026. Such fluctuations heighten vulnerabilities for brands heavily dependent on natural fabrics prized for comfort, breathability and perceived sustainability.
- As cotton prices rebound in 2026, adaptive retailers will adjust sourcing and pricing strategies to protect profitability. Expect diversification into synthetic blends, negotiated long-term supplier agreements and tighter control over seasonal inventory levels. Brands emphasizing elasticity, premium design, or sustainability will strategically reposition offerings, using branding—not price—as their shield against rising cotton-linked material costs and competitive margin pressures.

Lingerie retailers will rapidly diversify sourcing to offset soaring US import tariffs

- New US trade measures are sharply raising the import taxes that lingerie retailers pay on foreign goods. Instead of paying the usual clothing duty of about 10–15%, many Chinese-made lingerie items now face an additional 25–30% tariff, pushing the total tax burden above 40%. Imports from Vietnam and parts of Europe are also seeing higher, though more varied, tariff rates.
- These higher tariffs on imports from China, Vietnam and the EU are compressing specialty lingerie retailers' profit, forcing difficult trade-offs between absorbing costs, raising prices, or cutting assortment breadth, while consumers already face projected fashion price increases exceeding 30% across key markets, eroding discretionary demand for premium intimatewear and weakening in-store conversion rates.
- Lingerie stores will accelerate sourcing diversification from heavily taxed origins, such as China, toward lower-duty countries, selectively nearshore production and lean harder on data-driven inventory management, private-label development and dynamic pricing to offset tariff shocks. The winners will be retailers that redesign their supply chains the fastest, while protecting brand positioning and maintaining depth in terms of size and inclusivity.

Retailers will shift focus to technology, enhancing customer service and employee training

- Retailers will increasingly adopt technologies like smart carts and self-checkout kiosks. These innovations will relieve staff from routine tasks, enabling them to focus more on delivering personalized customer service. Employees will have the opportunity to provide tailored styling advice, guide customers through emerging fashion trends and assist with custom fittings and alterations. This evolution in roles will improve the shopping experience, making it more engaging and specifically tailored to individual customer preferences.
- According to a 2023 Retail Customer Experience Survey, 64.0% of shoppers report that the number of poorly trained employees has risen since 2020, with many lacking knowledge of product availability. Addressing this gap will be crucial for enhancing efficiency and meeting customer expectations.
- Retailers will foster a collaborative work environment that encourages employees to adapt to new technologies. Group training sessions will promote knowledge sharing and peer support, accelerating the learning curve and strengthening team bonds. This collaborative approach will lead to a more cohesive and satisfied workforce.

Life Cycle

Mature

Why is the industry mature?

Contribution to GDP

Lingerie store growth lags behind the national average, reflecting a slow recovery within the apparel retail sector. The industry's limited contribution to GDP underscores ongoing challenges. To remain competitive, businesses must diversify product offerings, embrace digital marketing and adapt to evolving consumer preferences for comfort and inclusivity.

Market Saturation

The market is becoming increasingly saturated, with numerous brands and stores competing for attention. Many businesses are competing for the same consumer base, resulting in aggressive pricing and targeted marketing strategies. This saturation compels stores to differentiate their offerings, reflecting a crowded, mature market environment.

Innovation

Innovation is crucial for maintaining interest and engagement. Retailers are emphasizing sustainable materials, personalized fittings and inclusive sizing. These innovations are essential for standing out and attracting diverse consumer segments, pushing the industry towards gradual evolution within its mature life stage.

Consolidation

Industry consolidation is prevalent, with larger companies acquiring smaller competitors to strengthen their market position. This trend enables competitive pricing and expanded product ranges, reshaping the retail landscape to favor larger players while challenging smaller stores to innovate and adapt.

Technology & Systems

E-commerce platforms, AI-driven personalization and efficient supply chain systems are revolutionizing the shopping experience. By integrating technology, stores enhance customer engagement and operational efficiency, which is vital in a mature industry to meet evolving consumer expectations and remain competitive.

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries

*Growth is based on change in share of economy combined with change in establishment numbers

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Source: IBISWorld

Products and Markets

Key Takeaways

Tariffs are putting upward pressure on costs. With effective duties on many Chinese apparel items exceeding about 43.0% and reciprocal tariffs on Vietnamese goods reaching 46.0%, lingerie retailers reliant on these countries risk margin compression and may have to raise prices, downgrade materials, or accept lower profit.

Bangladesh offers significant cost savings as an alternative. With labor costs ranging from $0.7 to $1 per hour, compared to China's $3–4 per hour, Bangladesh offers 15–16% savings on landed costs, making it an attractive option for companies reassessing their supply chains.

Lingerie and sleepwear have embraced inclusivity and innovation. Brands are increasingly offering diverse and innovative designs in response to evolving consumer preferences, while navigating rising production costs and adapting their strategies to maintain competitiveness in a challenging market.

Disposable income drove market growth. Between 2023 and 2024, increased financial freedom allowed consumers aged 45 to 64 to invest in higher-quality, luxury items, prioritizing comfort and favoring premium brands, thus boosting market demand and growth.

Largest Market
$2.4bn Lingerie and sleepwear

Product Innovation
Low

Products and Services

How are the industry's products and services performing?

Lingerie and sleepwear adapt to innovation, inclusivity and rising production costs

- Lingerie and sleepwear encompass a variety of styles, including babydolls, chemises, panties, pajamas and robes. These products cater to diverse consumer preferences, creating opportunities for brands to diversify their offerings and cover a broad range of market segments.
- Modern technologies and fabrics have enabled innovative product designs, including laser-cut seamless bras, molded T-shirt bras and stylish lingerie. Retailers have also adapted to evolving consumer preferences by offering products that cater to a wide range of body shapes and skin tones. Brands like SKIMS have revolutionized the industry by offering a diverse range of bras and lingerie in inclusive, skin-tone shades.
- Tariffs on imported lingerie and sleepwear materials are currently raising production costs in the lingerie stores industry. Retail prices have increased, leading to softer consumer demand. Retailers are shifting to alternative suppliers, revising pricing strategies and facing tighter profit that continue to pressure overall market competitiveness.

Bras, girdles and corsets adapt to the synthetic fiber price hike and evolving trends

- Bras, girdles and corsets are essential undergarments that combine support, comfort and style. Modern designs feature versatile options—including push-up, padded, seamless and strapless varieties—crafted to enhance shape and confidence while catering to diverse preferences and body types, making them both functional and fashionable essentials.
- Recent advancements have introduced bralettes—lightweight bras without molded cups or underwires—that appeal to consumers seeking comfort and minimalist style. Their rising popularity reflects a growing demand for easy-to-wear lingerie, driving innovation among manufacturers. During the 2020–2021 pandemic, comfort became essential as many people switched from structured bras to bralettes and wireless styles for use at home and during remote work.
- The 14.0% synthetic fiber price hike in 2021, followed by a slower 0.6% climb in 2024 and an expected 1.5% drop in 2026, gradually eased cost pressure and supported profit, helping the segment stay competitive and sustain demand despite earlier input cost volatility.

Hosiery, socks and tights face rising competition from department stores and e-commerce

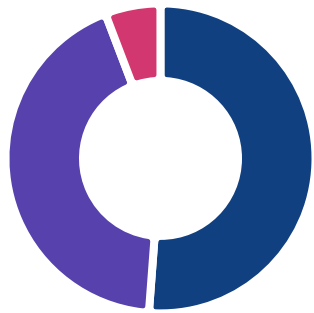
- Tights, hosiery and shapewear define a growing niche in fashion, combining innovative materials and designs to sculpt a more stylish and streamlined silhouette. Their rising popularity stems from creative approaches to body contouring, emphasizing comfort, confidence and the pursuit of a polished, modern look.
- The expansion of athleisure fashion has significantly favored hosiery. With the trend blurring the lines between athletic and casual wear, consumers are increasingly seeking legwear that offers comfort, flexibility and style. This shift has driven demand for innovative hosiery options that complement workout gear and casual outfits, like moisture-wicking socks and seamless leggings.

Brands like Lululemon and Athleta have capitalized on this trend by integrating hosiery into their product lines, emphasizing performance and everyday fashion.

- Growing competition from department stores and e-commerce platforms has weakened lingerie stores' sales of hosiery, socks and tights, as they offer broader assortments, frequent discounts and convenient online access. This shift has compelled specialty lingerie retailers to reposition their product mix, emphasize premium quality and enhance in-store experiences to maintain customer loyalty and differentiate themselves from mass-market rivals.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



- Lingerie and sleepwear ($2.4bn) 51.2%
- Bras, girdles and corsets ($2.0bn) 43.0%
- Hosiery, socks and tights ($268.5m) 5.8%

IBISWorld

Source: IBISWorld

What are innovations in industry products and services? Low

Lingerie design evolves to encompass inclusivity, accessibility and support for all body types

- Some companies now create mastectomy bras that not only provide essential support but also accommodate prosthetic breasts. This advancement offers women post-surgery the chance to find products that align with their practical needs and personal preferences.
- Designers are creating adaptive lingerie with features such as magnetic closures and adjustable straps. This evolution makes intimate apparel more accessible for individuals with physical limitations, encouraging more brands to prioritize ease of use.
- Gender-neutral lingerie lines are becoming increasingly common, offering styles that cater to diverse body shapes and gender identities. This trend promotes greater inclusivity, prompting more businesses to incorporate diversity into their product ranges to cater to a broader audience.

Technology has greatly improved the customer experience by integrating features like virtual try-ons

- Over the past decade, the popularity of online shopping for clothing has escalated significantly. Lingerie stores have been compelled to amplify their online presence to retain a competitive edge. Retailers have also developed mobile shopping applications, thereby optimizing their accessibility.
- Several retail stores are innovating by incorporating augmented reality (AR) technology into their operations. This allows consumers to virtually "try on" garments prior to making a purchase. This advancement significantly enhances the shopping experience by bridging the gap between physical and digital retail environments.

☆ Key Success Factors

What products or services do successful businesses offer?

Produce a differentiated product

In the intimate apparel industry, offering unique and differentiated products helps stand out from the competition. Stores can capture specific market niches and drive customer loyalty by providing distinctive styles, designs and materials.

Provide superior after-sales service

Providing exceptional after-sales service fosters trust and cultivates lasting customer relationships. From alterations to cleaning advice, helpful post-purchase customer service can lead to repeat business and referrals.

Major Markets

What's influencing demand from the industry's markets?

Consumers aged 45 to 64 drove market growth through increased disposable income

- This market comprises mid-life consumers who prioritize comfort and quality in their purchases and often value established brands. Their mature purchasing habits denote a reliable revenue stream through consistent demand for classic, timeless styles in lingerie selections.
- A boost in per capita disposable income between 2023 and 2024 supported this market by providing consumers with greater financial freedom to invest in higher-quality, luxury items. This allowed them to prioritize comfort and sophistication in their purchases, often opting for premium brands that aligned with their preferences for elegance and timeless style, thereby boosting market demand and growth.

Consumers aged 25 to 44 shift toward value, impacting premium lingerie market dynamics

- This segment includes accomplished individuals who adeptly balance professional and personal commitments. They value quality, comfort and durability in lingerie and their strong purchasing power drives consistent revenue growth, reinforcing the industry's stability and long-term expansion potential.
- Engaging this audience necessitates a combination of online and offline marketing strategies, given their appreciation for convenience and personalized shopping experiences. Implementing loyalty programs and offering tailored recommendations can encourage repeat purchases, thereby enhancing the lifetime value of the customer.
- The drop in the consumer confidence index in 2024 has led consumers aged 25 to 44 to prioritize essential purchases over discretionary spending, reducing demand for premium lingerie. This group is increasingly seeking promotions, affordable yet durable options and relying on online discounts, which are pressuring the sales profit of mid-to-high-end lingerie retailers.

Consumers aged 65 and older increasingly drive e-commerce growth with comfort-focused purchases

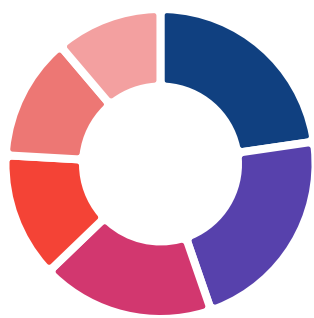
- This mature market segment prioritizes comfort, fit and practicality when purchasing lingerie items. They gravitate toward trusted brands known for quality and reliable comfort, driving consistent revenue through repeat purchases, strong brand loyalty and positive word-of-mouth recommendations within their social circles.
- Since 2020, consumers aged 65 and older have increasingly turned to online shopping, facilitated by more user-friendly e-commerce platforms. Shoe retailers have adapted by implementing targeted promotions, offering senior discounts and emphasizing robust customer service to remain competitive amid the growing dominance of e-commerce sites.
- According to the US Census Bureau, the population of Americans aged 65 and older is expected to nearly double by 2060. This demographic shift presents substantial opportunities for developing and marketing customized, comfort-oriented lingerie tailored to meet the needs of an aging population.

Young consumers under 25 increasingly favor affordable, inclusive big-box and online retailers

- This market includes young consumers, primarily students and early-career professionals, who value fashionable and affordable lingerie. They are driven by style-conscious preferences and social trends, frequently refreshing their wardrobes. Their consistent demand fuels rapid sales growth and shapes emerging fashion directions within the lingerie industry.
- The growing shift of consumers under 25 toward big-box retailers, such as Target and department stores, impacts the lingerie industry by increasing competition for specialized lingerie brands. These retailers attract younger buyers through affordable pricing, inclusive sizing and versatile products, reducing loyalty to traditional, niche lingerie boutiques.
- Also, the climb in online shopping within this demographic has greatly boosted digital platform sales. Economic volatility in 2023 and 2024 led consumers to seek affordable yet fashionable options, driving the growth of fast-fashion brands like Shein and Temu. However, 2025 tariff hikes have intensified competition among major online retailers.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets



- **Consumers aged 35 to 44 ($1.1bn)** 22.7%
- **Consumers aged 45 to 54 ($1.0bn)** 22.0%
- **Consumers aged 55 to 64 ($837.8m)** 18.1%
- **Consumers aged 25 to 34 ($606.4m)** 13.1%
- **Consumers older than 65 ($597.1m)** 12.9%
- **Consumers younger than 25 ($518.4m)** 11.2%

IBISWorld

Source: IBISWorld

International Trade

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

Like most retail industries, the distribution of lingerie stores follows population patterns. These stores are highly concentrated in the Southeast, Mid-Atlantic and West regions, which capture the three highest population levels in the US.

West lingerie stores thrive because of coastal logistics. Proximity to the Ports of Los Angeles and Long Beach enables these stores to replenish stock quickly and affordably, giving them a competitive edge in responding to fashion trends compared to their inland and East Coast rivals.

Business Locations

State	Estab. Units	Estab. %	Population %
California	343	1.8	11.5
Florida	264	1.4	7.0
Texas	235	1.3	9.3
New York	196	1.1	5.8
New Jersey	101	0.5	2.8
Pennsylvania	101	0.5	3.8
Michigan	93	0.5	3.0
Georgia	92	0.5	3.3
Illinois	91	0.5	3.7
North Carolina	89	0.5	3.3
Ohio	85	0.5	3.5
Colorado	71	0.4	1.8
Massachusetts	59	0.3	2.1
South Carolina	58	0.3	1.6
Virginia	59	0.3	2.6
Washington	58	0.3	2.3
Missouri	56	0.3	1.8
Tennessee	56	0.3	2.1
Minnesota	53	0.3	1.7
Alabama	42	0.2	1.5
Arizona	49	0.3	2.2
Louisiana	47	0.3	1.3
Maryland	46	0.2	1.8
Wisconsin	48	0.3	1.7
Indiana	39	0.2	2.0
Nevada	37	0.2	1.0

State	Estab. Units	Estab. %	Population %
Hawaii	35	0.2	0.4
Oregon	35	0.2	1.2
Utah	34	0.2	1.0
Kentucky	33	0.2	1.3
Connecticut	28	0.2	1.1
Iowa	29	0.2	1.0
Kansas	29	0.2	0.9
Mississippi	27	0.1	0.9
Oklahoma	27	0.1	1.2
Arkansas	24	0.1	0.9
Nebraska	20	0.1	0.6
Idaho	14	0.1	0.6
Delaware	11	0.1	0.3
Maine	12	0.1	0.4
Montana	11	0.1	0.3
New Hampshire	12	0.1	0.4
New Mexico	13	0.1	0.6
Rhode Island	11	0.1	0.3
South Dakota	12	0.1	0.3
West Virginia	8	0.0	0.5
Alaska	7	0.0	0.2
District of Columbia	5	0.0	0.2
North Dakota	7	0.0	0.2
Wyoming	5	0.0	0.2
Vermont	4	0.0	0.2

You can access and download additional years of data, including district-level data, at my.ibisworld.com.

Where are industry businesses located?

West lingerie clusters exploit coastal logistics to outpace inland rivals on fashion speed

- According to data from the US Census Bureau, the population of the Western US increased by nearly 688,000 in 2024, reaching 80,015,776 residents. This expansion has strengthened the region's sizable consumer base for lingerie retailers. States such as California, Washington and Arizona contributed significantly to the area's growth and urbanization, broadening retailers' access to a more diverse customer demographic.
- Many lingerie stores cluster along the West, where major brands like SKIMS in Los Angeles and Savage X Fenty in nearby El Segundo anchor a robust intimates ecosystem. This ecosystem supports the rapid adoption of trends, influencer-driven marketing and efficient supply chain links with local design, tech and entertainment industries.
- West lingerie stores benefit from proximity to the Ports of Los Angeles and Long Beach, which together handle nearly 40.0% of US containerized imports, including large volumes of apparel from Asia, enabling faster, cheaper replenishment and trend-responsive assortments than many inland or East Coast competitors.

Mid-Atlantic's economic growth boosts lingerie demand and retail competition

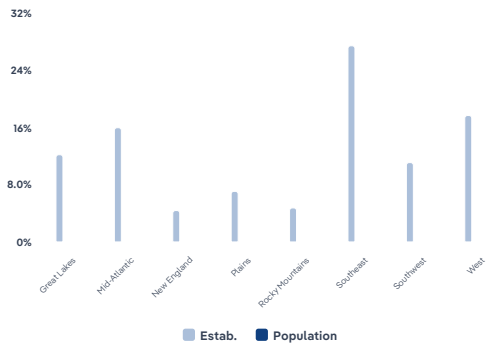
- Rising real GDP in New York and New Jersey from 2024 to 2025 has boosted household incomes and consumer confidence. With more disposable income, consumers are spending more on discretionary items such as lingerie. This trend has sustained strong demand for athletic, casual and designer lingerie, supporting a dense network of stores and fostering competitive pricing across the region's retail market.
- The Mid-Atlantic region, particularly New York City, is a central hub for major fashion events, including the illustrious Victoria's Secret Fashion Show, which has been hosted in New York on multiple occasions. Such events draw significant media attention and industry presence, making the region an attractive location for lingerie stores that benefit from the associated visibility and prestige.
- Mid-Atlantic's economic growth boosts lingerie demand and retail competition
- The region offers excellent logistical advantages because of its dense transportation infrastructure, including major ports, airports and rail systems. This connectivity facilitates efficient distribution and supply chain management for lingerie stores. Proximity to these logistics hubs enables retailers to receive new inventory quickly, providing customers with a greater variety of options and reduced lead times compared to other regions.

Southeast lingerie stores gain an advantage from regional fashion hubs and lower operating costs

- According to the Census Bureau's data, the Southeast continues to lead in population growth. For instance, Florida gained over 700,000 new residents from 2023 to 2024, reflecting its appeal to businesses seeking growing markets. Georgia and Texas have also seen significant increases, driven by domestic migration, which boosts consumer demand in retail, including lingerie sellers.
- Eberjey's Miami headquarters and Miami Beach flagship provide Southeast lingerie stores with access to a nearby, trend-setting, comfort-focused brand, supporting faster collaboration, regionally relevant assortments and marketing that leverages its reputation for ultra-soft, fashion-forward loungewear and lingerie. This can help drive destination traffic and loyalty among comfort-seeking shoppers.
- Operating costs, including real estate and labor, tend to be lower in the Southeast compared to other regions of the US, like the Northeast or West Coast. The reduced overhead can allow lingerie stores to maintain competitive pricing and higher profit, incentivizing businesses to establish a presence in this region.

Southeast has the largest spread of businesses compared to its population

Share of Estab. (%) vs. share of population (%)



IBISWorld Source: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Operate in a highly visible location

Lingerie stores attract affluent customers by choosing upscale areas, creating eye-catching window displays, investing in elegant signage, ensuring a luxurious entry and using targeted local advertising to boost foot traffic and sales.

Operate in a location that is close to key markets

Businesses leverage proximity to key markets by using local distribution networks, minimizing travel distances, reducing fuel costs, enabling just-in-time inventory and fostering direct customer interactions, leading to operational efficiencies.

Competitive Forces

Key Takeaways

Lingerie stores face intense competition. They distinguish themselves by using unique styles, strategic pricing and robust digital marketing efforts to capture the interest of selective customers amid established brands and new market entrants.

Brick-and-mortar stores face strong online competition. As a result, large and small businesses are compelled to innovate and adapt their strategies to survive or risk being edged out of the market entirely.

Concentration	Competition	Barriers to Entry
Moderate	High Increasing	Moderate Increasing
Substitutes	**Buyer Power**	**Supplier Power**
High Steady	High Steady	High Steady

Concentration Moderate

What impacts the industry's market share concentration?

Online lingerie growth weakens mall chains' dominance yet concentrates power in leading marketplaces

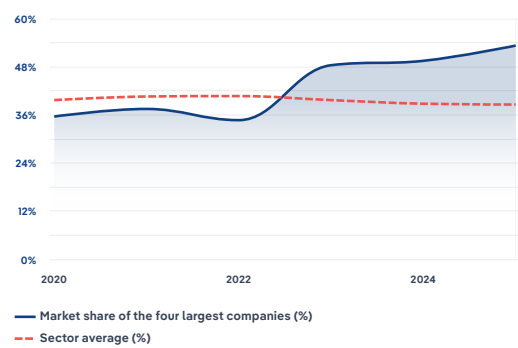
- Rising e-commerce penetration shifts lingerie spending from traditional specialty stores to online-first brands and mass retailers, reducing the relative dominance of mall-based chains and slightly lowering market share concentration as more players access national audiences without incurring heavy store investments, even while Victoria's Secret remains the single largest brand.
- At the same time, e-commerce enables the rapid scaling of a few powerful platforms and digitally native labels that leverage data, virtual fittings and influencer marketing. This can climb concentration within online channels, as top brands and marketplaces capture disproportionate traffic, advertising visibility and repeat purchases across the lingerie category.

Market leaders Victoria's Secret and Aerie pressure smaller rivals to innovate

- Victoria's Secret dominates the intimate apparel market with its primary brand, Victoria's Secret and its youth-focused line, Pink. By 2025, these brands will command nearly half of the market share. Continued innovation in design and trend leadership will be crucial for sustaining their market dominance.
- American Eagle Outfitters also holds a strong position with its Aerie brand, focusing on body positivity and inclusivity. These values resonate with modern consumers, prompting businesses to adopt similar principles to remain competitive in this evolving landscape.
- Smaller competitors face significant challenges because of limited brand recognition, financial constraints and restricted distribution channels. Their inability to match the expansive marketing networks and customer loyalty of industry leaders hinders growth. To thrive, new entrants could identify niche opportunities or strategic alliances to strengthen visibility and sales potential.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

Key Success Factors

How do successful businesses handle concentration?

Develop a strong reputation

Lingerie stores develop a strong reputation by providing exceptional customer service, offering high-quality products, maintaining trust and engaging in consistent, effective marketing and brand-building efforts, which helps stores maintain their focus.

Establish brand names

Recognized brand names can attract higher profit. A reputable brand name signifies quality, style and reliability, helping stores differentiate themselves in a competitive market.

Barriers to Entry

Moderate | Increasing

What challenges do potential industry entrants face?

Legal

- New lingerie stores must navigate complex federal textile labeling rules, state consumer protection laws, ADA accessibility requirements, employment regulations and local zoning and permitting processes, which demand legal expertise, documentation and inspections, thereby increasing compliance costs and discouraging small, under-resourced entrants from opening.

Start-up Costs

- Opening a lingerie store typically requires substantial capital for commercial rent or leases in high-traffic locations, build-out and décor, display fixtures, point-of-sale systems, insurance, permits and a deep size-range inventory, creating significant financial risk that excludes many potential entrants lacking sufficient savings or external financing.

Differentiation

- New lingerie retailers compete against established brands like Victoria's Secret and Aerie, which enjoy strong brand awareness, customer loyalty and substantial marketing budgets. Therefore, entrants must invest heavily in distinctive positioning, curated assortments, inclusive sizing and in-store experiences to persuade customers to switch, thereby incurring ongoing promotional and merchandising costs.

Labor Expenses

- Lingerie stores depend on personalized fitting, sizing advice and sensitive customer service, which require skilled, predominantly in-person staff, extensive training time and careful scheduling, creating relatively high labor costs and management complexity that make it harder for new operators to maintain service quality and profitability.

Key Success Factors

How can potential entrants overcome barriers to entry?

Generate repeat customers

Building customer loyalty through exceptional service, personalized experiences and consistent quality encourages repeat business and positive word-of-mouth referrals, helping overcome barriers to entry.

Provide superior after-sales service

Lingerie stores can build loyalty and differentiate themselves from competitors by providing responsive support and easy returns, training skilled staff for quick problem resolution and leveraging customer feedback.

Substitutes

High | Steady

What are substitutes for industry services?

Big-Box Retailers

- Retail giants such as Target, Walmart and Costco carry extensive lingerie collections, featuring multiple brands that offer a wide range of styles and sizes at budget-friendly prices. These retailers offer accessible alternatives to specialized boutiques, which often feature limited selections and higher price tags.
- Big-box retailers offer the convenience of finding everything from fashion to home essentials under one roof. Thanks to their economies of scale, they can provide lingerie at lower prices than most specialty stores. Retailers like Costco allow consumers to pick up lingerie while shopping for household essentials, creating a more streamlined and time-saving experience.

Department Stores

- Department stores like Macy's and Nordstrom offer a wide selection of lingerie from numerous brands. They cater to different preferences and budgets, allowing shoppers to explore multiple styles in one place without having to visit separate specialty shops.
- These stores also offer services like personal shopping assistance and professional fittings, providing a tailored shopping experience. Customers benefit from expert advice and the convenience of trying on multiple brands and styles in a single visit, which enhances their satisfaction and decision-making process during the purchase.

Women's Clothing Stores

- Women's clothing outlets cater to diverse female fashion needs, including misses, juniors, plus-size and maternity designs. These stores often stock lingerie in their collections, enhancing the appeal of a one-stop shopping experience for customers seeking convenience and variety.
- Customers loyal to a particular clothing brand may find it advantageous to buy lingerie from the same establishment. The ability to using loyalty programs and benefit from brand familiarity can serve as an attractive incentive for repeat purchasing.

E-commerce

- Online lingerie retailers, including large marketplaces like Amazon, act as substitutes by letting shoppers browse and purchase at any time, avoiding travel, fitting-room pressure, or embarrassment, while accessing far more brands, styles, sizes and colors than most local boutiques can stock economically, because of inventory constraints and space limitations in physical stores.
- Retailers like HerRoom and Amazon are further replacing traditional in-store functions with virtual fitting tools, brand-specific sizing charts, fit comments and customer reviews that help approximate in-person advice, supported by streamlined return policies and secure payment systems.

☆ Key Success Factors

How do successful businesses compete with substitutes?

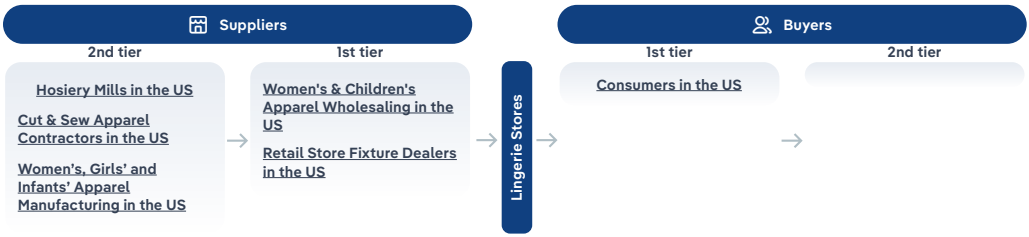
Establishment of brand names

Building a strong brand helps create customer trust and recognition, which can make consumers less likely to switch to substitute products. A well-known brand often conveys quality and consistency.

Promote products effectively

Effective marketing communicates the unique qualities and benefits of the products, differentiating them from substitutes and attracting customers who value specific features and brand identity.

Buyer & Supplier Power



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High Steady

Buyers: Low switching costs drive competitive pressure

- Lingerie buyers hold moderate power because of low switching costs and a wide range of brand options. Consumers can easily compare prices and styles online, pushing retailers to compete on discounts, quality and fit. This accessibility limits loyalty and forces stores to quickly adapt their product mix and pricing strategies.
- Increasing consumer awareness of body inclusivity and sustainability shapes purchasing decisions across brands. Lingerie stores must invest in size diversity, eco-friendly materials and transparent sourcing to maintain relevance. Buyers' growing emphasis on value and ethics heightens competition, squeezing retailers that fail to differentiate through design innovation or socially responsible practices.

High Steady

Suppliers: Limited leverage in a diverse and competitive market

- The supplier power within the lingerie industry remains relatively low because numerous fabric manufacturers, design houses and overseas producers compete for contracts. This abundance enables retailers to switch suppliers easily, maintaining stable prices while ensuring consistent product quality and innovation, without overreliance on any single source or vendor.
- Major lingerie brands often possess the scale and buying power to negotiate favorable terms, thereby reducing supplier influence even further. Private-label production and localized sourcing strategies also help large stores manage supply risk. Smaller boutiques may face higher costs but still benefit from a wide supplier base supporting flexible inventory management.

Key Success Factors

How do successful businesses manage buyer & supplier power?

Build strong cash reserves

Stores build strong cash reserves to negotiate better terms with buyers and suppliers, absorb supply chain shocks and seize growth opportunities. They achieve this through cost optimization, efficient operations, rigorous budgeting, profitable growth and disciplined financial management.

Secure access to high-quality inputs

Retailers manage buyer and supplier power by investing in higher-quality materials to create differentiated products that attract less price-sensitive customers and justify premium prices, thereby reducing buyers' ability to negotiate prices down and limiting their dependence on low-cost, powerful suppliers.

Companies

Key Takeaways

Victoria's Secret focuses on customer engagement. This is achieved by providing high-quality products and significant discounts, exemplified by the brand's notable spring sale available on Amazon.

American Eagle also has a notable market share in the Lingerie Stores industry. By diversifying its product offerings, the company captures a larger audience and challenges established lingerie brands to up their game.

Major Players

Company	Revenue	Market Share
Victoria's Secret & Co.	$1.9bn	40.0%
American Eagle Outfitters, Inc.	$611.9m	13.2%
Other Companies	$2.2bn	46.7%

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue

- Victoria's Secret & Co. ($1.9bn) 40.0%
- American Eagle Outfitters, Inc. ($611.9m) 13.2%
- Other Companies ($2.2bn) 46.7%

IBISWorld

Source: IBISWorld

Companies

Company	Market Share (%) 2025	Revenue ($m) 2025	Profit ($m) 2025	Profit Margin (%) 2025
Victoria's Secret & Co.	40.0	1,853.4	88.8	4.8
American Eagle Outfitters, Inc.	13.2	611.9	22.4	3.7

Victoria's Secret & Co.

Company Details

Industry Specific Revenue (2025)	$1.9bn
Industry Profit (2025)	$88.8m
Company Employees (2025)	30,000
Market Share (2025)	40.0%

Description

Victoria's Secret is a public company headquartered in Ohio with an estimated 30,000 employees. In the US, the company has a notable market share in at least one industry: Lingerie Stores, where they account for an estimated 40.0% of total industry revenue.

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2020	28.5	1,397.5	-26.1	-1.9
2021	30.5	2,097.0	268.9	12.8
2022	27.4	1,954.5	147.3	7.5
2023	36.6	1,740.0	69.2	4.0
2024	36.9	1,714.0	85.3	5.0
2025	40.0	1,853.4	88.8	4.8

What's impacting Victoria's Secret & Co.'s performance?

Victoria's Secret unveils innovative FlexFactor bra, redefining comfort and support

- In July 2025, Victoria's Secret launched the FlexFactor Lightly Lined Plunge Demi Bra as part of its top-selling Body by Victoria collection. This new design features an innovative, flexible titanium underwire and memory foam for movement, comfort and a nearly wireless feel. The campaign, shot in New York City, highlights the brand's focus on freedom and flexibility.

Victoria's Secret implements a temporary shareholder rights plan to safeguard shareholder interests amid market volatility

- In 2025, Victoria's Secret & Co. adopted a limited-duration shareholder rights plan to protect shareholders' interests in response to BBRC International's 13.0% stock accumulation. Violations of antitrust laws by BBRC were noted, with corrective filings allowing future stock acquisition up to 49.9%. The plan aims to provide fair shareholder treatment and control takeover tactics. The rights plan, expiring in 2026, ensures that shareholders realize long-term investment value amid market challenges and management's strategic focus on brand potential under the new CEO, Hillary Super.

American Eagle Outfitters, Inc.

Company Details

Industry Specific Revenue (2025)	$611.9m
Industry Profit (2025)	$22.4m
Company Employees (2025)	32,800
Market Share (2025)	13.2%

Description

American Eagle Outfitters is a public company headquartered in Pennsylvania with an estimated 32,800 employees. In the US, the company has a notable market share in at least one industry: Lingerie Stores, where they account for an estimated 13.2% of total industry revenue and are considered a Rising Star because they display lower market share, but displaying stronger profit and revenue growth than some of their peers.

Brands & Trading Names

- Aerie
- American Eagle Outfitters

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2020	7.1	347.1	-25.1	-7.2
2021	6.9	476.5	56.2	11.8
2022	7.2	515.5	25.5	5.0
2023	11.8	561.7	23.8	4.2
2024	12.6	586.3	47.0	8.0
2025	13.2	611.9	22.4	3.7

What's impacting American Eagle Outfitters, Inc.'s performance?

Aerie strengthens authenticity pledge, rejecting AI to keep advertising 100% real

- Aerie, the clothing brand from American Eagle Outfitters, pledged to stay "100% real" by rejecting the use of generative AI in its ads, extending its long-standing no-retouching policy to ban AI-created or modified images of people. This move, led by CMO Stacey McCormick, reinforces the brand's decade-long #AerieReal commitment to authenticity, handmade creativity and transparency, while preserving genuine photography and craftsmanship in a marketing world increasingly influenced by AI.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Lingerie store regulations vary widely. They must navigate federal, state and local rules, alongside customs and international trade policies, while states use antitrust laws to ensure competitive pricing, quality and consumer choice.

Industry associations support lingerie stores. They include the National Retail Federation, the American Apparel and Footwear Association and the Underfashion Club, all of which assist in promoting and advocating for their members' business interests.

Regulation & Policy
Low Steady

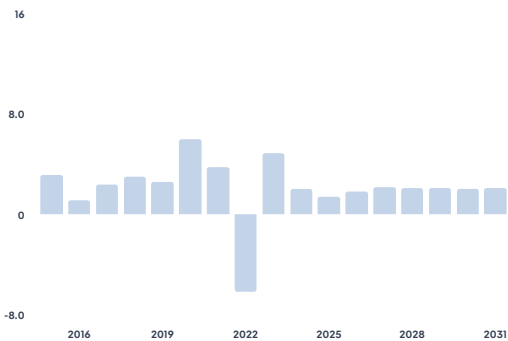
Assistance
Low Steady

External Drivers

What demographic and macroeconomic factors impact the industry?

Per capita disposable income

Growth

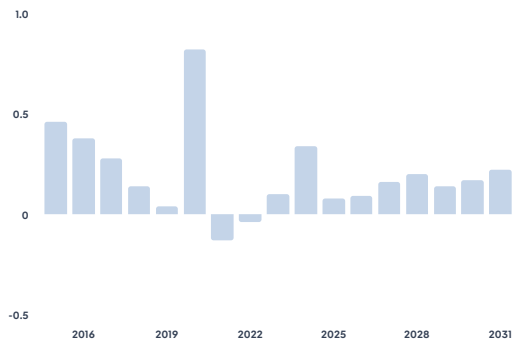


IBISWorld Source: IBISWorld

Consumers are more inclined to purchase discretionary apparel items, such as luxury lingerie and swimwear, during periods of rising per capita disposable income, as these purchases are often considered non-essential. However, a drop in per capita disposable income can create challenges for lingerie stores, as it may lead to decreased consumer spending and a drop in demand for these premium products.

Number of adults aged 20 to 64

Growth

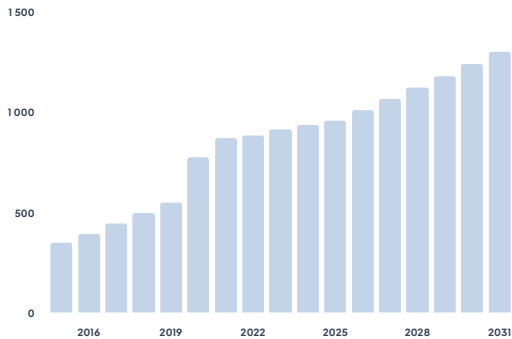


IBISWorld Source: IBISWorld

Women between the ages of 20 and 64 are the primary demographic for lingerie retailers, as they purchase the majority of products in this category. The industry closely ties its demand to the size of this age group. With minimal growth projected, retailers may face challenges in sustaining or expanding their customer base. A drop in adults aged 20 to 64 poses a threat to the industry.

E-commerce sales

$ billion

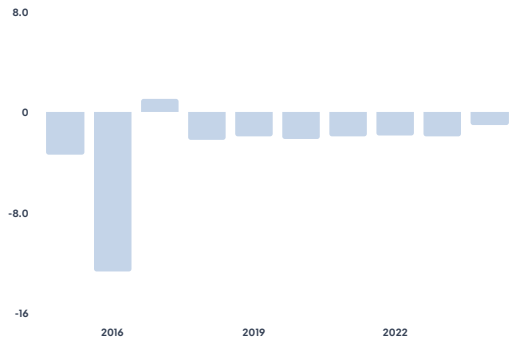


IBISWorld Source: IBISWorld

E-commerce platforms are transforming the operations of lingerie stores by seamlessly integrating social media and online content with their product offerings. This digital synergy enhances brand visibility and customer engagement, driving sales by connecting captivating content to purchase-ready products. Retailers employing omnichannel strategies can effectively mitigate competition from pure e-commerce brands.

Demand from department stores

Growth



IBISWorld Source: IBISWorld

While some consumers gravitate towards lingerie specialty outlets for their purchases, many visit department stores, attracted by the convenience of shopping for multiple clothing items in one location. This shopping preference can redirect consumer spending away from niche retailers, impacting industry revenue streams. Department stores use their diverse product offerings to engage a broader customer base, presenting competition for sales traditionally captured by dedicated lingerie retailers.

Regulation & Policy

Low Steady

What regulations impact the industry?

Occupational Safety and Health Act (OSHA)

The Occupational Safety and Health Act (OSHA) regulates lingerie stores by ensuring safe working conditions. It mandates proper lighting, ventilation and ergonomics to minimize hazards. OSHA requires training on health risks and safety protocols, like fire safety and emergency preparedness. It also enforces the use of personal protective equipment (PPE) when needed. Regular inspections ensure compliance, aiming to prevent workplace injuries and promote a healthy environment for employees.

Americans with Disabilities Act (ADA)

The Americans with Disabilities Act (ADA) requires lingerie stores to ensure accessibility for individuals with disabilities. These stores must provide barrier-free entrances, accessible fitting rooms and aisles wide enough for wheelchair navigation. Stores must also accommodate individuals with visual or hearing impairments through appropriate signage and communication aids. The goal is to provide an inclusive shopping experience, ensuring that customers with disabilities can navigate and enjoy these retail environments independently and comfortably.

Federal Trade Commission (FTC)

The Federal Trade Commission (FTC) regulates lingerie stores by enforcing consumer protection laws against deceptive advertising and unfair business practices. It ensures accurate labeling and pricing, truthful advertising about garment materials and attributes and fair competition among businesses. The FTC also oversees compliance with the Textile Fiber Products Identification Act, which requires proper labeling of fiber content. These regulations help maintain transparency and protect consumers' rights and interests in these specialized retail sectors.

Fair Labor Standards Act (FLSA)

The Fair Labor Standards Act (FLSA) regulates lingerie stores by setting minimum wage, overtime pay and recordkeeping requirements. Employees must be paid at least the federal minimum wage and overtime pay at one and a half times the regular rate for hours worked over 40 in a week. The FLSA also mandates employers to maintain accurate payroll records. Some employees may be exempt based on their role or earnings, but specific criteria must be met.

Assistance

Low | Steady

What assistance is available to this industry?

Government
Small Business Administration (SBA)

The Small Business Administration (SBA) supports small businesses, including lingerie stores, through various programs. They offer financial assistance through loans, such as the 7(a) and 504 loan programs, to help cover startup costs and expansion expenses. The SBA also provides mentorship and training through resources such as Small Business Development Centers and SCORE, helping businesses develop effective planning and marketing strategies. They also assist in navigating government contracts and offer disaster recovery support, ensuring sustainability and growth.

Non-government
National Retail Foundation (NRF)

The National Retail Federation provides essential support for the retail sector through its comprehensive research, education and training programs. It offers valuable advocacy in government policy areas, including labor and taxation, which can have a favorable impact on businesses such as lingerie shops. Through information technology initiatives, the NRF equips retailers with cutting-edge tools to enhance operational efficiency and effectiveness. Its efforts create a supportive environment, helping these businesses navigate industry challenges and ensuring their continued growth.

Non-government
American Apparel and Footwear Association (AAFA)

The American Apparel and Footwear Association (AAFA) supports lingerie stores by advocating for favorable trade policies, providing industry insights and ensuring compliance with regulations. It offers networking opportunities and educational resources to enhance business growth and innovation. AAFA also addresses supply chain issues and promotes sustainable practices. By representing the industry's interests in government and media, it helps these stores navigate challenges and seize market opportunities effectively.

Non-government
The Underfashion Club

The Underfashion Club represents retailers, manufacturers, textile mills, fiber producers and trim suppliers in all aspects of the intimate apparel industry. Membership benefits include networking opportunities, professional development and engaging members from sectors such as sleepwear and loungewear. Their annual Femmy Gala celebrates achievements, fostering recognition and community. This support structure facilitates growth and innovation, enabling members to effectively navigate the complexities of the apparel market.

Financial Benchmarks

Key Takeaways

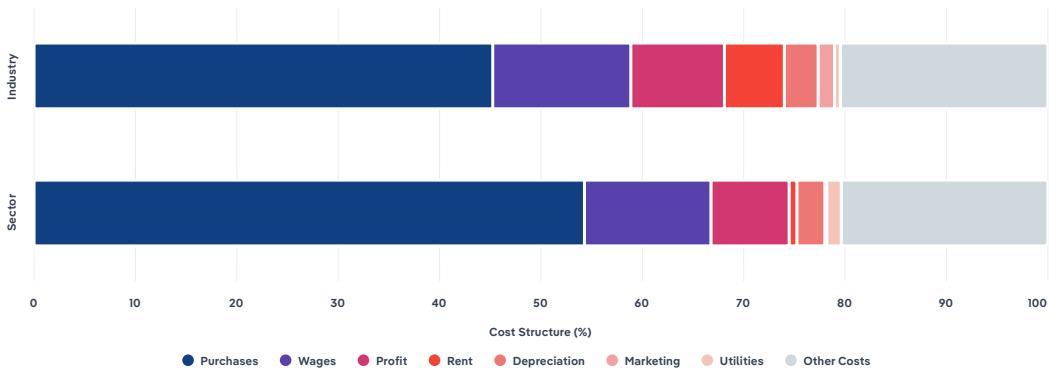
Omnichannel retail boosts profit despite rising tariffs. By integrating online and in-store experiences, retailers gain sales volume and market penetration, which supports profit growth even as tariffs and sourcing costs challenge the industry.

Wages are managed by technological advancements. Over the past five years, wages have decreased as a percentage of revenue, while operational efficiency has been enhanced by digital tools that streamline processes without compromising service quality.

Profit Margin	Average Wage	Largest Cost
9.2 % Higher than sector	$20,593 Lower than sector	Purchases 45.3% of Revenue

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2025



IBISWorld Source: IBISWorld

Cost Structure Benchmarks

Operating costs	Industry (%)	Sector (%)
Purchases	45.3	54.37
Contracted labor	0.5	-
Other	99.5	-
Wages	13.6	12.42
Commissions	2.2	-
Other	97.8	-
Profit	9.2	7.74
Rent	5.9	0.72
Machinery and equipment	1.1	-

Operating costs	Industry (%)	Sector (%)
Land, Building and Structure	98.9	-
Other	0	-
Depreciation	3.4	2.78
Marketing	1.6	0.25
Utilities	0.6	1.41
Other Costs	20.4	20.33
Repair and Maintenance	2.5	-
IT services and related spend	0.9	-
Distribution & Warehousing	3.3	-
Research and Development	1.7	-
Franchise fees and Royalties	3.2	-
Professional Services	3.2	-
Telecommunications	1.3	-
Other	83.9	-

What trends impact industry costs?

Omnichannel retail expansion strengthens profit despite rising tariffs and sourcing challenges

- Combining online and in-store experiences has expanded reach and accessibility. Customers can browse and purchase seamlessly across platforms, resulting in increased sales volume. This integrated approach reduces dependency on a single channel and maximizes market penetration, directly supporting profit growth over the past five years.
- Leveraging omnichannel strategies, retailers offer personalized services and exclusive collections across online and offline channels. This differentiation attracts and retains customers willing to pay a premium, thereby enhancing profit by fostering strong brand loyalty and mitigating the impact of competitive pricing pressures.
- However, in 2025, rising tariffs on imported apparel have increased sourcing costs for retailers that rely on overseas manufacturing, narrowing already thin profit and straining cashflow, so many lingerie stores respond by raising retail prices, which can weaken consumer demand, reduce sales volumes and ultimately pressure overall profitability across the sector.

Rising tariffs and assortment upgrades push lingerie retailers' merchandise purchases

- Over the past five years, lingerie retailers have expanded their merchandise purchases as they broaden assortments, emphasize premium and athleisure segments and absorb higher wholesale prices. The 2025 tariff increases on selected imported apparel have further raised landed costs, driving up inventory values and per-pair prices on store shelves.
- Inventory is a major variable cost for lingerie retailers and higher purchase commitments driven by assortment strategy and tariffs tie up working capital, increase markdown risk and amplify forecasting errors, directly shaping gross profit, cash-flow resilience and the scope for promotional campaigns.
- Retailers are accelerating data-driven open-to-buy planning, renegotiating terms with suppliers affected by tariffs and using more flexible replenishment to favour faster-turning categories, which will shape profit performance and determine which retailers can translate higher purchasing costs into sustainable pricing and profit structures.

Technological advancements helped manage wages while maximizing operational efficiency

- Over the past five years, wages have gradually decreased as a percentage of revenue, reflecting a balance between maintaining quality staffing and optimizing financial resources. This has been driven in part by technological advancements that streamline operations without sacrificing service levels.
- Compensation for essential roles, such as customer support and inventory management, remains of considerable importance. However, many retailers are increasingly adopting digital tools to enhance efficiency. This strategic shift enables more effective cost management, ensuring that wages remain in line with overarching revenue goals.
- Continuous investment in employee training enhances service quality, which remains a priority in this product-centric industry. Retailers manage wage growth by fostering a skilled workforce capable of delivering specialized assistance to discerning shoppers.

Retailers optimize costs by strategically negotiating rents and leveraging digital sales channels

- Over the past year, rent costs have plateaued, a trend attributed to strategic negotiations and a shift towards more cost-effective

locations. This move allows retailers to maintain consumer access while effectively managing expenses in high-traffic areas.

- The integration of online sales channels enhances a business's physical presence by balancing rent costs with digital growth. This dual strategy enables businesses to optimize customer outreach without becoming excessively dependent on expensive prime real estate.

Depreciation declines as durable investments boost asset longevity

- Depreciation expenses have reduced over the past five years as stores enhance their physical assets with durable, modern fixtures and advanced technologies. This transition reduces the frequency of asset replacement and extends useful life, resulting in cost savings.
- By embracing technologies like artificial intelligence, cloud computing and data analytics, stores streamline operations, minimizing the financial impact of depreciation. These innovations enhance efficiency, alleviate financial strain and enable strategic reinvestments into areas that drive business expansion and sustainable long-term growth.

Marketing shifts focus to digital strategies for cost-effective

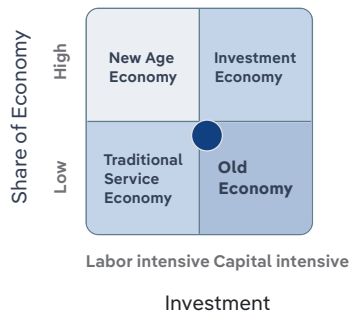
- Marketing expenditures have plateaued over the past five years as retailers shift their focus to digital marketing strategies, capitalizing on targeted online advertising for cost-effective reach. This shift enables broader engagement with reduced financial outlay compared to traditional marketing.
- Using data analytics enables the creation of personalized marketing campaigns that effectively target specific consumer segments, thereby boosting engagement. This customized strategy not only enhances customer interaction but also fosters brand loyalty, all while reducing costs.
- Digital platforms, like social media (Instagram or TikTok) and e-commerce sites (Amazon or Shopify), offer significant visibility, complementing traditional retail presence and expanding consumer reach. These channels facilitate ongoing brand promotion and customer engagement without extensive marketing expenses.

Smart meters and IoT devices enhance utility management, optimizing energy use and cost-efficiency

- Utilities expenses have stabilized over the past five years, reflecting the effective management of heating and electricity costs. Retailers that prioritize energy efficiency play a crucial role in maintaining these stable expenditures, ensuring operational costs remain consistent without compromising the quality of lingerie store environments.
- The implementation of smart meters, advanced data analytics, automated systems and IoT devices has revolutionized utility management. These technologies optimize energy efficiency, reduce operational costs and ensure a seamless customer experience, all while supporting overarching sustainability goals.

Old Economy

Share of economy vs. Investment



IBISWorld Source: IBISWorld

Financial Ratios

Days' Receivables
66.0 Higher than sector

Interest Coverage
1.9 Higher than sector

Debt/Net Worth
11.0 Higher than sector

Earnings Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
EBIT/Revenue	9.7	-0.2	12.8	15.9	18.7	17.3	11.8	10.6
EBITDA/Revenue	14.5	4.0	17.0	20.5	26.0	23.3	16.9	15.2
Leverage Ratio	4.8	24.8	5.9	4.9	3.8	4.4	9.9	6.8

Industry Tax Structure

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.6	1.9	2.3	2.0	1.7	1.8	2.0	1.8

Income Statement

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Business receipts	76.2	92.6	92.0	94.6	97.8	96.2	94.2	91.2
Cost of goods	51.3	53.5	53.4	49.7	44.7	47.2	50.3	52.1
Gross Profit	48.7	46.5	46.6	50.3	55.3	52.8	49.7	47.9
Expenses								
Salaries and wages	12.3	14.7	8.8	9.5	8.6	9.1	10.4	10.7
Advertising	2.0	2.1	2.1	1.8	1.6	1.7	1.9	1.9
Depreciation	0.9	0.9	1.1	1.0	0.8	0.9	0.9	0.8
Depletion	0.0	0.0	0.0	0.2	0.6	0.4	0.2	0.1
Amortization	4.0	3.3	3.1	3.5	5.9	4.7	3.9	3.7
Rent paid	1.6	2.9	1.6	1.7	1.6	1.6	1.9	1.8
Repairs	1.0	0.8	0.8	0.7	0.3	0.5	0.7	0.8
Bad debts	0.5	0.7	0.2	0.1	0.1	0.1	0.3	0.4
Employee benefit programs	2.5	2.6	2.1	2.3	2.4	2.3	2.4	2.3
Compensation of officers	2.6	3.5	2.0	1.1	2.5	1.8	2.3	2.3
Taxes paid	1.6	1.9	2.3	2.0	1.7	1.8	2.0	1.8
Interest Income	3.0	0.1	0.7	1.4	0.7	1.0	0.7	0.8
Other Income								
Royalties	1.0	1.6	2.0	1.5	0.9	1.2	1.5	1.4
Rent Income	3.2	2.6	2.4	0.5	0.1	0.3	1.4	2.3
Net Income	7.6	-2.7	9.2	7.4	7.3	7.3	5.3	6.4
Charitable contributions	0.1	0.1	0.2	0.3	0.1	0.2	0.2	0.1
Dividends	0.9	0.9	1.0	0.2	0.1	0.1	0.5	0.8
Interest paid	0.5	0.6	1.3	6.6	9.7	8.2	4.6	2.4
Net gain, noncapital assets	0.9	0.2	0.2	0.0	0.0	0.0	0.1	0.2
Net long-term capital gain less net short-term loss	12.8	0.3	0.0	0.8	0.2	0.5	0.3	1.6
Net loss, noncapital assets	0.1	0.5	0.3	0.8	0.5	0.7	0.5	0.3
Net short-term capital gain less net long-term loss	1.2	0.7	0.7	0.5	0.1	0.3	0.5	0.8
Other deductions	10.5	13.4	10.3	8.9	8.4	8.7	10.3	10.2
Other receipts	0.9	1.0	1.0	0.4	0.2	0.3	0.6	0.8
Pension, profit-sharing, etc., plans	0.1	0.2	0.3	2.2	2.9	2.5	1.4	1.0

Balance Sheet

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Assets								
Cash and Equivalents	1.0	6.1	6.2	5.0	5.0	5.0	5.6	3.7
Notes and accounts receivable	4.3	5.0	6.7	15.0	18.1	16.5	11.2	6.7
Allowance for bad debts	0.1	0.1	0.1	1.3	1.3	1.3	0.7	0.4
Inventories	31.1	32.3	37.4	37.7	36.7	37.2	36.0	31.1
Other current assets	1.6	5.3	6.2	5.0	5.8	5.4	5.6	3.5
Other investments	16.8	10.8	8.2	0.3	-0.6	-0.2	4.7	13.1
Property, Plant and Equipment	28.4	25.9	28.4	26.1	27.7	26.9	27.0	34.3
Accumulated depreciation	17.5	16.7	17.1	18.2	18.4	18.3	17.6	21.1
Intangible assets (Amortizable)	21.6	21.7	19.9	22.2	18.5	20.3	20.6	22.1
Accumulated amortization	7.2	6.3	6.8	6.3	5.0	5.6	6.1	6.3
Other assets	12.6	10.3	2.2	5.5	5.6	5.5	5.9	5.4
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Accounts payable	13.0	13.7	13.5	15.1	16.8	16.0	14.8	12.8
Liabilities and Net Worth								
Mort, notes, and bonds under 1 yr	19.9	15.5	18.2	16.4	16.1	16.2	16.5	15.8
Other current liabilities	9.4	9.2	11.9	9.8	9.9	9.9	10.2	10.3
Loans from shareholders	15.4	18.0	15.5	14.6	12.4	13.5	15.1	17.2
Mort, notes, bonds, 1 yr or more	18.0	25.2	22.5	26.2	25.5	25.9	24.9	22.8
Other liabilities	6.6	3.7	2.7	9.2	10.2	9.7	6.5	5.9
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Capital stock	-5.4	-2.0	-2.1	-5.9	-6.5	-6.2	-4.1	-4.5
Additional paid-in capital	50.1	35.6	30.3	13.9	8.4	11.1	22.0	35.6
Retained earnings, appropriated	-11.0	-5.3	-3.6	-1.8	-0.3	-1.1	-2.8	-7.5
Retained earnings-unappropriated	0.2	-5.0	1.5	10.7	14.5	12.6	5.4	0.3
Cost of treasury stock	16.2	8.6	10.5	8.4	6.9	7.7	8.6	8.5
Net worth	17.7	14.7	15.7	8.5	9.1	8.8	12.0	15.4
Accumulated depletion	0.0	0.0	0.0	0.1	0.1	0.1	0.0	0.0
Depletable assets	3.7	0.4	1.5	1.8	2.0	1.9	1.4	1.1
Government Obligations	0.0	0.0	0.0	0.8	0.7	0.7	0.4	0.2
Land	2.4	3.9	5.1	3.0	2.3	2.6	3.6	4.5
Loans to shareholders	0.1	0.2	0.7	1.7	1.7	1.7	1.1	0.7
Mortgage and real estate loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.1
Tax Exempt Securities	1.3	1.3	1.5	1.7	1.5	1.6	1.5	1.4

Liquidity Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Current Ratio	0.9	1.3	1.3	1.6	1.6	1.6	1.5	1.2
Quick Ratio	0.2	0.5	0.5	0.7	0.8	0.7	0.6	0.4
Sales/Receivables	33.1	20.1	14.9	6.7	5.5	6.1	11.8	46.8
Days' Receivables	11.0	18.2	24.5	54.6	66.0	60.3	40.8	21.9
Days' Inventory	154.0	220.2	255.4	276.9	299.2	288.1	262.9	178.9
Inventory Turnover	2.4	1.7	1.4	1.3	1.2	1.3	1.4	2.5
Payables Turnover	5.7	3.9	4.0	3.3	2.7	3.0	3.4	6.2
Days' Payables	64.4	93.7	92.4	111.3	137.5	124.4	108.7	73.8
Sales/Working Capital	-38.0	8.0	6.4	3.8	3.7	3.8	5.5	28.9

Coverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Interest Coverage	20.8	-0.3	9.6	2.4	1.9	2.2	3.4	10.6
Debt Service Coverage Ratio	1.1	0.3	0.9	1.2	1.6	1.4	1.0	1.4

Leverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Fixed Assets/Net Worth	4.6	5.1	5.0	9.1	8.2	8.6	6.8	6.1
Debt/Net Worth	5.6	6.8	6.4	11.7	11.0	11.4	9.0	7.1
Tangible Net Worth	17.7	14.7	15.7	8.5	9.1	8.8	12.0	15.4

Operating Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Return on Net Worth, %	78.4	-1.4	81.8	186.0	206.6	196.3	118.2	103.1
Return on Assets, %	13.9	-0.2	12.8	15.9	18.7	17.3	11.8	14.3
Sales/Total Assets	1.4	1.0	1.0	1.0	1.0	1.0	1.0	1.4
EBITDA/Revenue	14.5	4.0	17.0	20.5	26.0	23.3	16.9	15.2
EBIT/Revenue	9.7	-0.2	12.8	15.9	18.7	17.3	11.8	10.6

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Cash from Trading	42.1	39.0	43.5	56.6	57.7	57.2	49.2	46.5
Cash after Operations	21.9	12.3	30.1	41.0	42.3	41.6	31.4	28.7
Net Cash after Operations	18.5	9.7	25.7	46.3	49.6	48.0	32.8	28.2
Debt Service P&I Coverage	1.2	0.5	1.2	1.9	1.8	1.8	1.4	1.9
Interest Coverage (Operating Cash)	39.7	16.0	19.2	7.0	5.1	6.1	11.8	28.3

Key Ratios

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2005	152,578	0.7	3.8	4.6	22,319	14.6	1.2	26.9
2006	152,728	0.7	4.0	4.7	23,208	15.2	1.2	29.0
2007	150,055	0.7	3.7	4.4	22,422	14.9	1.2	27.8
2008	147,611	0.7	3.7	4.4	20,902	14.2	1.2	23.3
2009	139,066	0.6	3.7	4.4	20,618	14.8	1.2	26.9
2010	139,407	0.6	3.6	4.3	20,537	14.7	1.2	28.3
2011	135,067	0.6	3.8	4.5	19,913	14.7	1.2	28.4
2012	153,505	0.6	3.5	4.0	19,860	12.9	1.2	28.9
2013	137,962	0.6	3.8	4.5	19,306	14.0	1.2	30.3
2014	140,537	0.6	3.7	4.3	20,742	14.8	1.2	27.0
2015	153,110	0.6	3.6	4.2	21,751	14.2	1.2	26.4
2016	149,651	0.6	3.6	4.1	20,949	14.0	1.1	28.5
2017	140,336	0.6	3.6	4.1	20,307	14.5	1.1	28.9
2018	143,683	0.6	3.6	4.1	20,773	14.5	1.1	29.8
2019	140,402	0.6	3.6	4.2	20,979	14.9	1.2	29.9
2020	100,146	0.4	3.4	3.9	17,722	17.7	1.1	28.1
2021	156,158	0.5	2.8	3.1	22,458	14.4	1.1	26.3
2022	178,365	0.4	2.1	2.3	21,236	11.9	1.1	23.8
2023	152,290	0.3	1.8	1.9	20,613	13.5	1.1	26.4
2024	150,826	0.3	1.7	1.8	20,573	13.6	1.1	26.4
2025	151,547	0.3	1.6	1.8	20,593	13.6	1.1	26.2
2026	153,466	0.3	1.6	1.7	20,647	13.5	1.1	26.0
2027	154,763	0.3	1.5	1.6	20,680	13.4	1.1	25.7
2028	157,067	0.3	1.5	1.6	20,742	13.2	1.1	25.5
2029	159,270	0.2	1.5	1.6	20,800	13.1	1.1	25.7
2030	160,989	0.2	1.5	1.5	20,845	12.9	1.1	25.9
2031	161,369	0.2	1.4	1.5	20,856	12.9	1.1	25.8

Key Statistics

Industry Data

Values

Year	Revenue ($ Million)	IVA ($ Million)	Estab. (Units)	Enterprises (Units)	Employment (Units)	Wages ($ Million)
2005	7,180.0	1,931.8	12,257	10,243	47,058	1,050.3
2006	7,334.6	2,126.1	12,142	10,117	48,024	1,114.5
2007	7,529.9	2,090.0	13,388	11,301	50,181	1,125.2
2008	7,296.6	1,699.5	13,337	11,207	49,431	1,033.2
2009	7,092.5	1,905.2	13,770	11,683	51,001	1,051.5
2010	7,429.8	2,106.0	14,637	12,477	53,296	1,094.6
2011	8,008.1	2,274.6	15,530	13,261	59,290	1,180.7
2012	8,799.4	2,543.8	16,425	14,232	57,323	1,138.4
2013	8,641.4	2,620.3	16,330	13,979	62,636	1,209.3
2014	8,662.0	2,334.4	16,452	14,180	61,635	1,278.5
2015	8,753.0	2,309.1	15,999	13,758	57,168	1,243.4
2016	8,713.6	2,481.9	16,226	14,137	58,226	1,219.8
2017	8,262.6	2,387.3	16,527	14,449	58,877	1,195.6
2018	7,894.0	2,351.3	15,419	13,423	54,940	1,141.3
2019	7,349.2	2,199.9	14,509	12,597	52,344	1,098.2
2020	5,958.3	1,673.8	17,557	15,441	59,496	1,054.4
2021	7,995.1	2,104.4	18,573	16,706	51,199	1,149.8
2022	7,739.6	1,841.2	20,711	18,480	43,392	921.5
2023	4,991.3	1,319.8	18,144	16,853	32,775	675.6
2024	4,754.9	1,253.9	18,570	17,307	31,526	648.6
2025	4,629.0	1,214.2	18,622	17,405	30,545	629.0
2026	4,653.7	1,211.9	19,023	17,816	30,324	626.1
2027	4,654.2	1,198.2	19,524	18,336	30,073	621.9
2028	4,639.6	1,184.2	19,706	18,538	29,539	612.7
2029	4,651.8	1,196.2	19,853	18,693	29,207	607.5
2030	4,650.0	1,203.3	19,793	18,647	28,884	602.1
2031	4,654.7	1,201.6	19,950	18,807	28,845	601.6

Note

Figures are inflation adjusted to 2025

Industry Data

Annual Change

Year	Revenue %	IVA %	Estab. %	Enterprises %	Employment %	Wages %
2005	N/A	N/A	N/A	N/A	N/A	N/A
2006	2.2	10.1	-0.9	-1.2	2.1	6.1
2007	2.7	-1.7	10.3	11.7	4.5	1.0
2008	-3.1	-18.7	-0.4	-0.8	-1.5	-8.2
2009	-2.8	12.1	3.2	4.2	3.2	1.8
2010	4.8	10.5	6.3	6.8	4.5	4.1
2011	7.8	8.0	6.1	6.3	11.2	7.9
2012	9.9	11.8	5.8	7.3	-3.3	-3.6
2013	-1.8	3.0	-0.6	-1.8	9.3	6.2
2014	0.2	-10.9	0.7	1.4	-1.6	5.7
2015	1.1	-1.1	-2.8	-3.0	-7.2	-2.7
2016	-0.5	7.5	1.4	2.8	1.9	-1.9
2017	-5.2	-3.8	1.9	2.2	1.1	-2.0
2018	-4.5	-1.5	-6.7	-7.1	-6.7	-4.5
2019	-6.9	-6.4	-5.9	-6.2	-4.7	-3.8
2020	-18.9	-23.9	21.0	22.6	13.7	-4.0
2021	34.2	25.7	5.8	8.2	-13.9	9.0
2022	-3.2	-12.5	11.5	10.6	-15.2	-19.9
2023	-35.5	-28.3	-12.4	-8.8	-24.5	-26.7
2024	-4.7	-5.0	2.3	2.7	-3.8	-4.0
2025	-2.6	-3.2	0.3	0.6	-3.1	-3.0
2026	0.5	-0.2	2.2	2.4	-0.7	-0.5
2027	0.0	-1.1	2.6	2.9	-0.8	-0.7
2028	-0.3	-1.2	0.9	1.1	-1.8	-1.5
2029	0.3	1.0	0.7	0.8	-1.1	-0.8
2030	0.0	0.6	-0.3	-0.2	-1.1	-0.9
2031	0.1	-0.1	0.8	0.9	-0.1	-0.1

Note

Figures are inflation adjusted to 2025

Key Success Factors

How do successful businesses overcome volatility?

Develop a loyal customer base

Personalized service, exclusive designs and consistent engagement cultivate loyal customers. This drives repeat business and stable revenue, helping lingerie stores effectively navigate market fluctuations.

Manage seasonal production

Lingeri stores manage volatility by establishing reputable supplier relationships, ensuring steady quality, favorable pricing and reliable deliveries. This stability enhances inventory control, customer satisfaction and business resilience amid market changes.

What products or services do successful businesses offer?

Produce a differentiated product

In the intimate apparel industry, offering unique and differentiated products helps stand out from the competition. Stores can capture specific market niches and drive customer loyalty by providing distinctive styles, designs and materials.

Provide superior after-sales service

Providing exceptional after-sales service fosters trust and cultivates lasting customer relationships. From alterations to cleaning advice, helpful post-purchase customer service can lead to repeat business and referrals.

How do businesses use location to their advantage?

Operate in a highly visible location

Lingerie stores attract affluent customers by choosing upscale areas, creating eye-catching window displays, investing in elegant signage, ensuring a luxurious entry and using targeted local advertising to boost foot traffic and sales.

Operate in a location that is close to key markets

Businesses leverage proximity to key markets by using local distribution networks, minimizing travel distances, reducing fuel costs, enabling just-in-time inventory and fostering direct customer interactions, leading to operational efficiencies.

How do successful businesses handle concentration?

Develop a strong reputation

Lingerie stores develop a strong reputation by providing exceptional customer service, offering high-quality products, maintaining trust and engaging in consistent, effective marketing and brand-building efforts, which helps stores maintain their focus.

Establish brand names

Recognized brand names can attract higher profit. A reputable brand name signifies quality, style and reliability, helping stores differentiate themselves in a competitive market.

How can potential entrants overcome barriers to entry?

Generate repeat customers

Building customer loyalty through exceptional service, personalized experiences and consistent quality encourages repeat business and positive word-of-mouth referrals, helping overcome barriers to entry.

Provide superior after-sales service

Lingerie stores can build loyalty and differentiate themselves from competitors by providing responsive support and easy returns, training skilled staff for quick problem resolution and leveraging customer feedback.

How do successful businesses compete with substitutes?

Establishment of brand names

Building a strong brand helps create customer trust and recognition, which can make consumers less likely to switch to substitute products. A well-known brand often conveys quality and consistency.

Promote products effectively

Effective marketing communicates the unique qualities and benefits of the products, differentiating them from substitutes and attracting customers who value specific features and brand identity.

How do successful businesses manage buyer & supplier power?

Build strong cash reserves

Stores build strong cash reserves to negotiate better terms with buyers and suppliers, absorb supply chain shocks and seize growth opportunities. They achieve this through cost optimization, efficient operations, rigorous budgeting, profitable growth and disciplined financial management.

Secure access to high-quality inputs

Retailers manage buyer and supplier power by investing in higher-quality materials to create differentiated products that attract less price-sensitive customers and justify premium prices, thereby reducing buyers' ability to negotiate prices down and limiting their dependence on low-cost, powerful suppliers.

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